Prepared by Ayush Bhatt
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NAVIGATION

- Executive Summary
- P&L Analysis
- Variance Analysis
- Cash Flow
- Balance Sheet & Ratios
- FY2026E Scenarios

KEY METRICS

Revenue FY2025	$69,077m
Underlying EBIT	$2,754m
Underlying NPAT	$963m
Oper. Cash Flow	$4,550m
Free Cash Flow	$2,624m
FCF Conversion	57.7%

ANALYST VIEW

Top-line held up reasonably well at +1.7%, though the 52-week base flatters the comparison somewhat. The real story is the EBIT decline — costs ran ahead of sales, compressing margins by ~90bps. OCF at $4.6bn is reassuring and shows the core business still converts well. FY2026E outlook hinges on whether management can rein in CODB growth.

Executive Summary

Underlying NPAT | FY2025 ($m)

963

Operating Cash Flow | FY2025 ($m)

4,550

Revenue | FY2025 ($m)

69,077

Underlying EBIT | FY2025 ($m)

2754

Free Cash Flow | FY2025 ($m)

2,624

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Revenue Growth	+1.7%
Gross Margin %	27.2%
EBIT Margin %	4.0%
NPAT Margin %	1.4%
Underlying EBIT	$2,754m
FY2026E Rev Est.	$72,060m

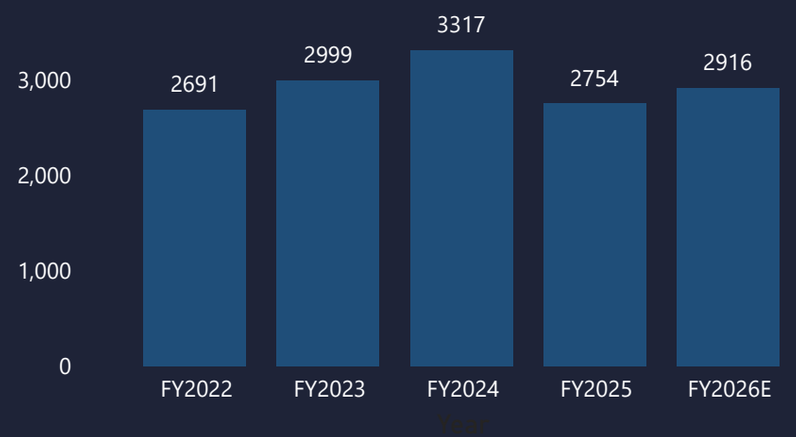
ANALYST VIEW

Gross margins have trended in the right direction since FY22, but that improvement isn't flowing through to EBIT. The problem is straightforward — CODB grew at 3x the rate of revenue in FY25. Until management arrests that cost creep, margin recovery will remain aspirational rather than achievable.

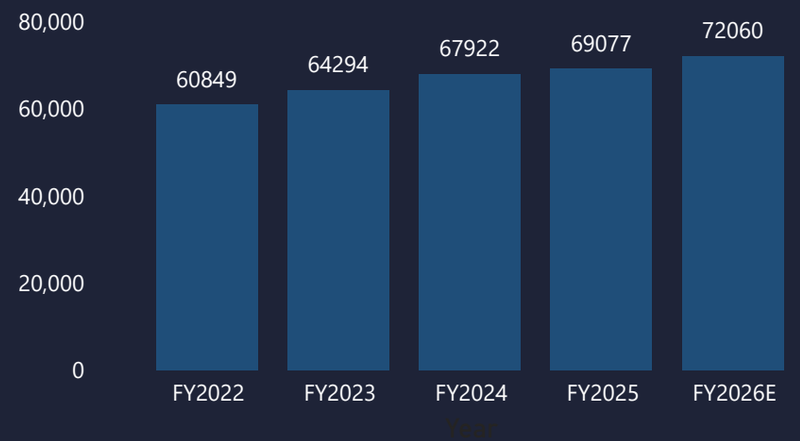
Source: WOW Annual Reports

P&L Analysis

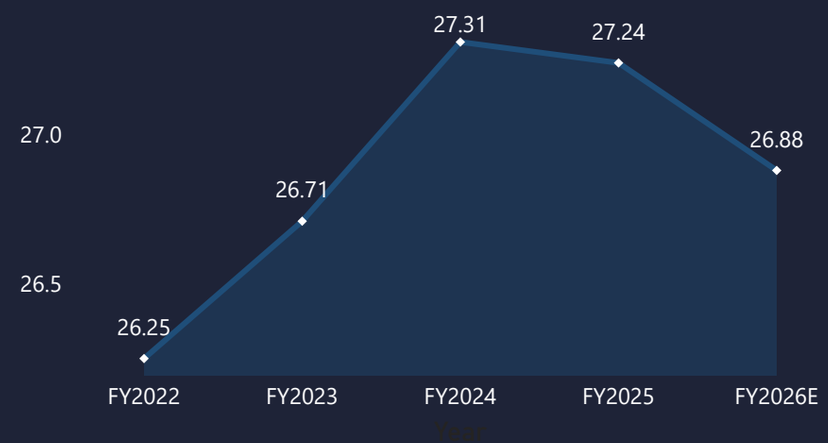
Underlying EBIT | FY2022–FY2026E ($m)



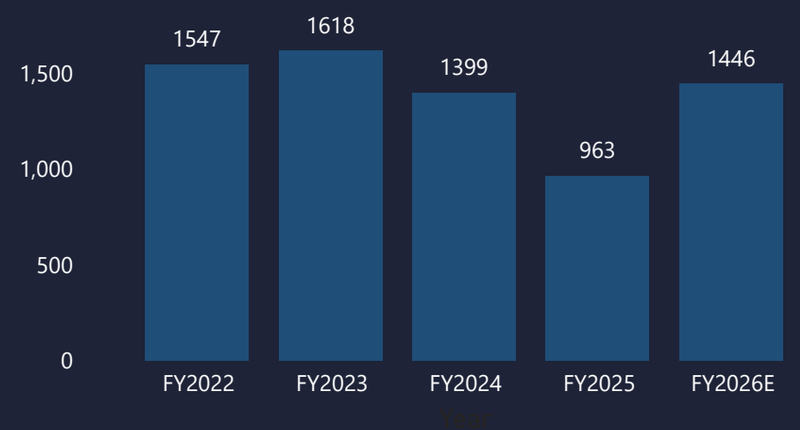
Revenue Trend | FY2022–FY2026E ($m)



Gross Margin % | FY2022–FY2026E



Underlying NPAT | FY2022–FY2026E ($m)



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KEY METRICS

Revenue Var.	+$1,155m
Gross Profit Var.	+$263m
EBIT Variance	-$563m
NPAT Variance	-$436m
OCF Variance	+$191m
FCF Variance	+$542m

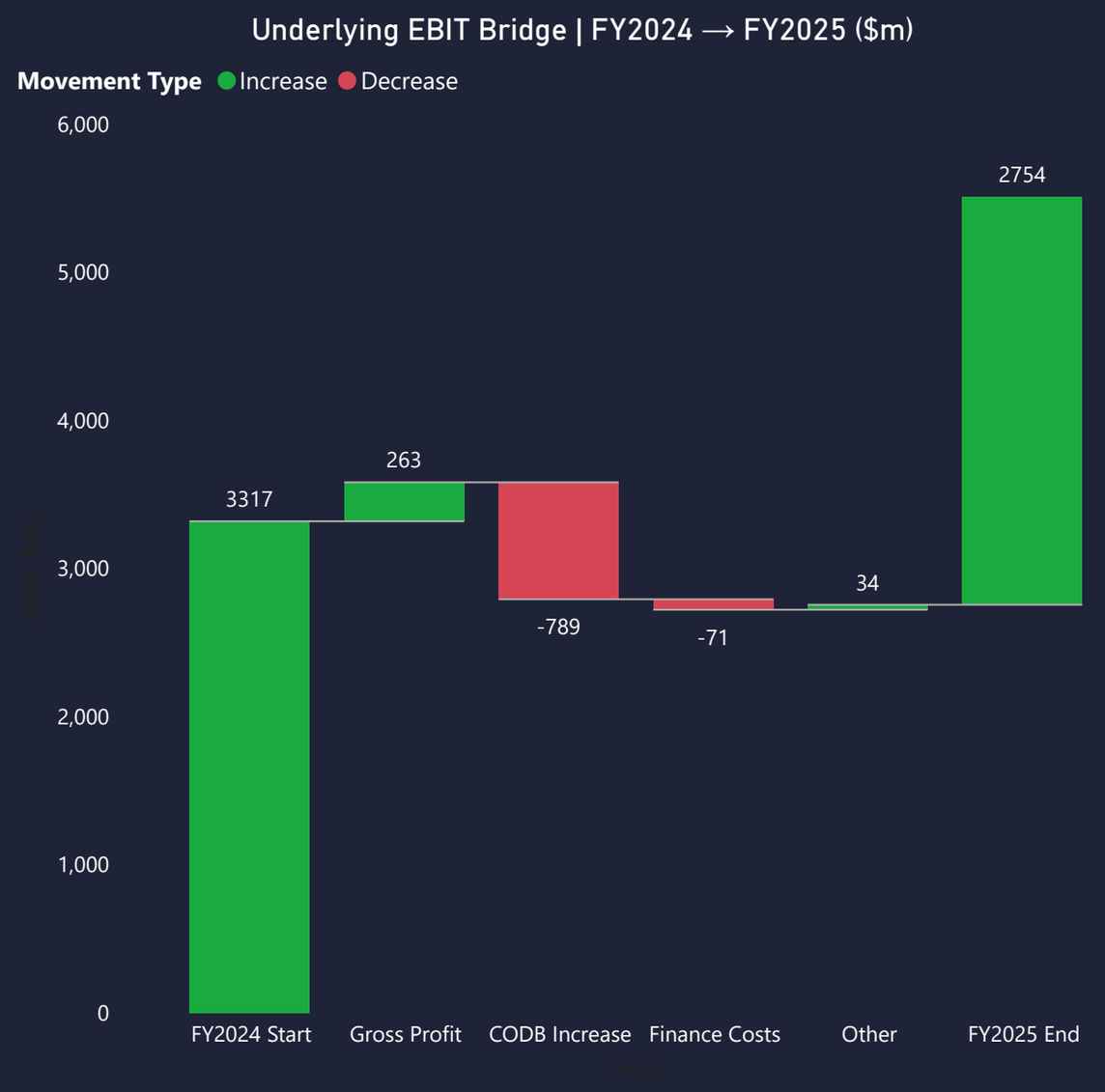
ANALYST VIEW

Don't be fooled by the NPAT rebound — FY24's $1.7bn impairment charge makes the YoY comparison misleading. Strip that out and earnings quality actually deteriorated. The $789m underlying CODB increase is the headline number here. Positive FCF variance (+$542m) is a genuine bright spot worth noting.

Variance Analysis

FY2024 vs FY2025 | Variance Summary ($m)

Metric	Variance ($m)
Underlying EBIT	-563
Underlying NPAT	-436
Operating Cash Flow	191
Gross Profit	263
Free Cash Flow	542
Revenue	1155



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KEY METRICS

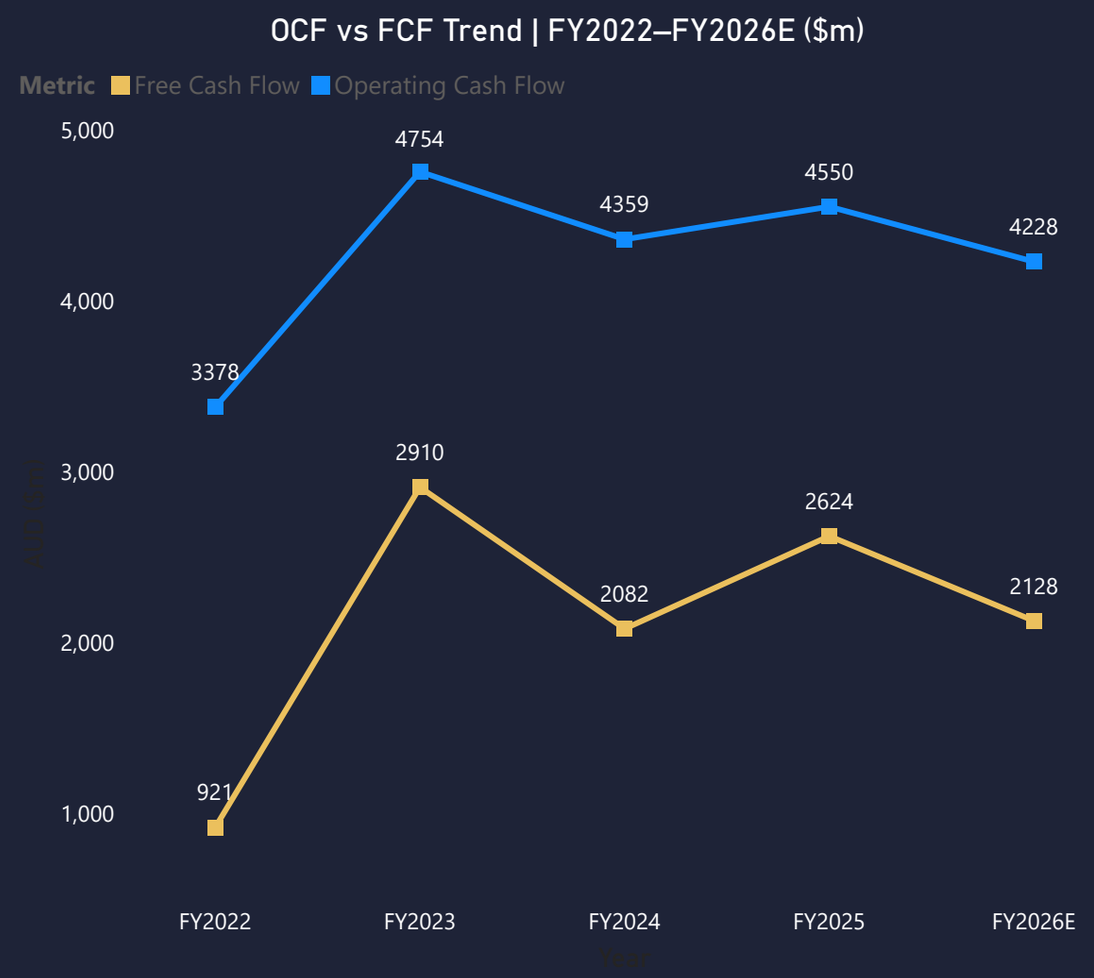
Oper. Cash Flow	**$4,550m**
Free Cash Flow	**$2,624m**
FCF Conversion	**57.7%**
Capex FY2025	**$1,926m**
OCF/EBIT Ratio	**1.65x**
FY2026E OCF Est.	**$4,228m**

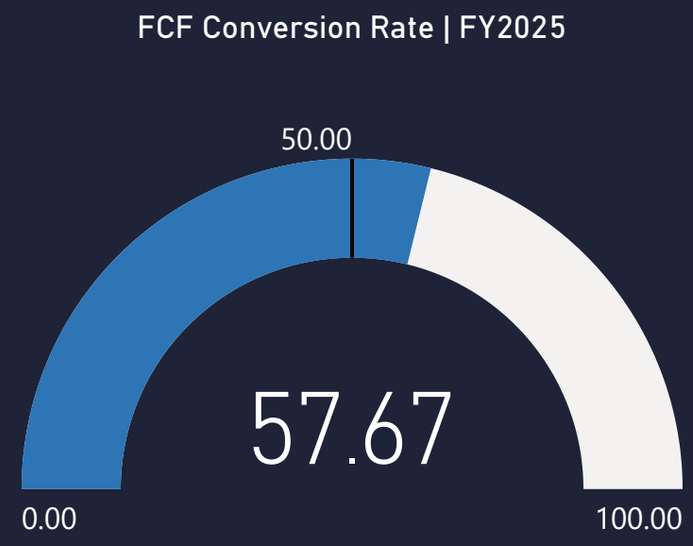
ANALYST VIEW

Cash generation remains the strongest part of the WOW story. OCF has stayed within $3.4–4.8bn across the cycle regardless of earnings volatility. The 57.7% FCF conversion comfortably clears the 50% retail benchmark — this business throws off cash even in difficult years, which is ultimately what matters.

Source: WOW Annual Reports

Cash Flow





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KEY METRICS

Total Assets	**$33,829m**
Total Equity	**$4,962m**
Total Liabilities	**$28,867m**
D/E Ratio FY2025	**5.82x**
Current Ratio	**0.57x**
FY2026E D/E Est.	**6.13x**

ANALYST VIEW

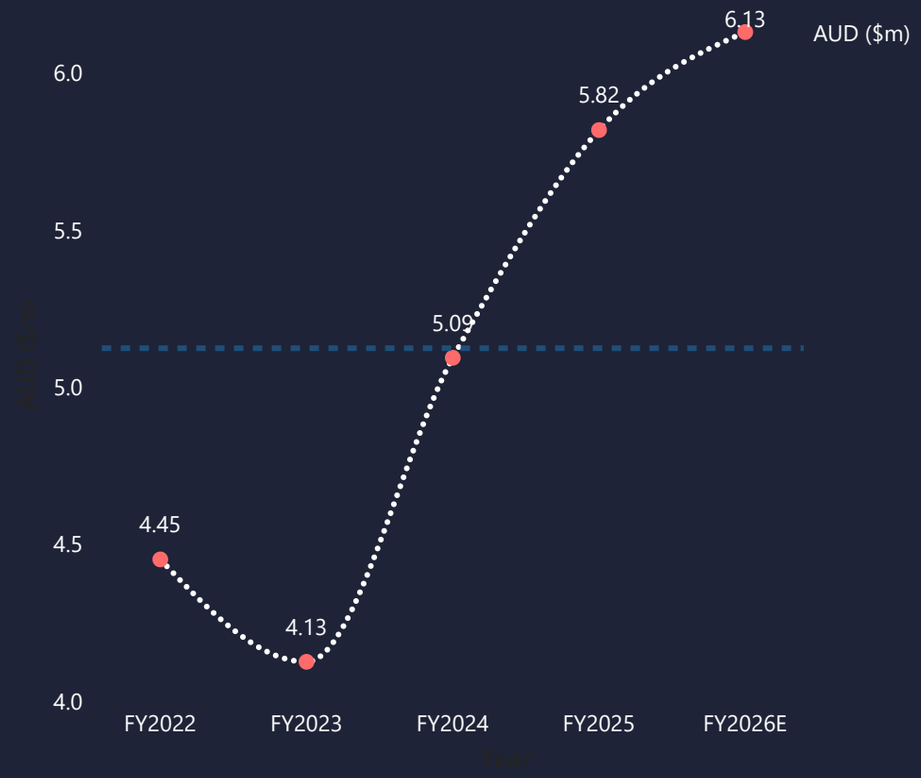
Leverage looks elevated at 5.82x, but context matters — AASB 16 lease capitalisation inflates the ratio materially. Share buybacks and impairment write-downs have also eroded the equity base. The 0.57x current ratio isn't alarming; negative working capital is a structural feature of grocery retail, not a red flag.

Source: WOW Annual Reports

Balance Sheet & Ratios

Asset Composition | FY2022–FY2026E ($m)

Debt-to-Equity Ratio



D/E rising from 4.45x (FY2022) to 5.82x (FY2025) — driven by AASB 16 lease capitalization, share buybacks reducing equity, and non-cash impairments in FY2024–FY2025. FY2026E projected at 6.13x — key leverage risk to monitor.

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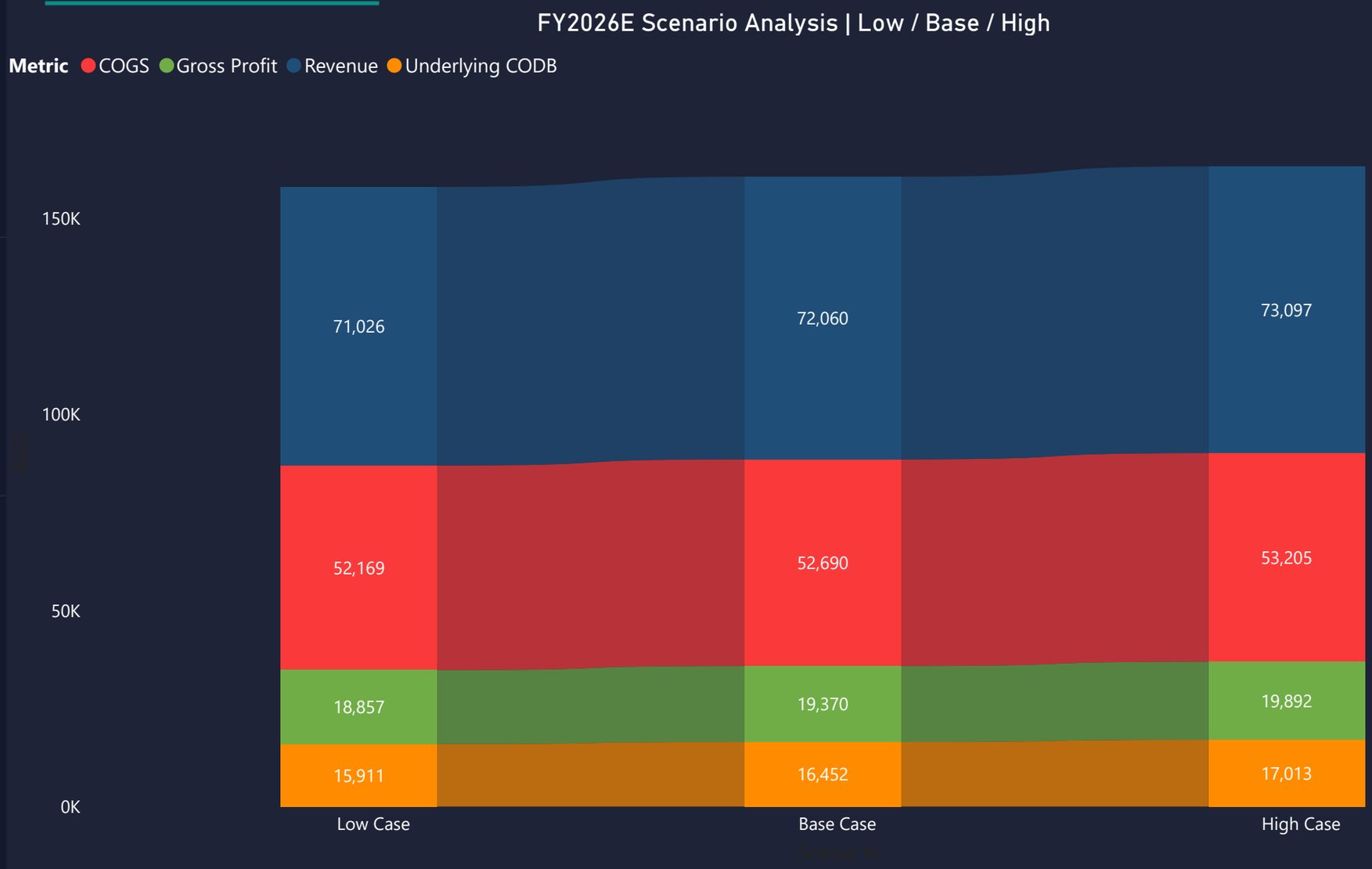
Base Revenue	$72,060m
Base EBIT	$2,916m
Base NPAT	$1,446m
Low Revenue	$71,026m
High Revenue	$73,097m
Base Growth %	+4.3%

ANALYST VIEW

The base case assumes revenue normalises to its 3-year trend (+4.3%), which feels achievable given volume recovery. The key swing factor is cost control — EBIT recovery to $2,916m only works if CODB growth lags revenue. Downside risk centres on cost inflation persisting above 22%. In the bull case, gross margin expansion to 27.2% could push NPAT toward $1.66bn.

FY2026E Scenarios